Connecting SMEs to Capital

A strategy for matching the High, Mid and Low funding-readiness tiers to investors, and a guide to the Power BI dashboard that supports the work.

The strategy in three sentences. Introduce the 273 **High-tier** SMEs to matched investors immediately: they are credible, appropriately sized requests, and every early completed deal builds the programme's reputation. Develop the 568 **Mid-tier** SMEs — half the portfolio — through a structured readiness programme, so that a steady number graduate into the High tier each quarter. Repair the 275 **Low-tier** applications before any investor sees them: their two main obstacles — requests far above revenue, and missing information — can both be corrected by the applicant.

1. The portfolio at a glance

The programme holds 1,116 scored applications requesting R7.72 billion in total. The scoring model — explained fully in the companion document, *How the Funding Readiness Tiers Were Built* — sorts them into three tiers. The figures below are calculated from the scored dataset and drive every recommendation in this plan:

	High tier	Mid tier	Low tier
Number of SMEs	273 (24.5%)	568 (50.9%)	275 (24.6%)
Average readiness score	70.5 / 100	54.4 / 100	40.3 / 100
Total funding requested	R4.89bn	R1.68bn	R1.16bn
Median request	R3.89m	R380,000	R250,000
Median request vs revenue	1.5× — proportionate	1.9× — proportionate	26.2× — not viable
Requests inside the 0.5×–5× target range	82%	70%	14%
Average existing employees	23.5	5.1	3.4
Total new jobs anticipated	4,064	2,798	1,111
Applications missing at least one required field	16%	26%	37%

Three facts from this table shape the strategy. First, the High tier is one quarter of the applicants but accounts for R4.89 billion — 63% of all capital requested — and the largest share of anticipated jobs; it is immediately bankable. Second, the Mid tier is the largest segment, at half the portfolio, and consists of genuine trading businesses whose gaps are specific and correctable; it is the main source of future investor-ready pipeline. Third, the Low tier's defining problems are measurable: its median request is 26 times its revenue, and 37% of its applications are missing at least one required field. Both problems are resolved by engaging the applicant, which makes this tier a defined remediation workload rather than a rejection list.

2. High tier — convert interest into transactions now

Who they are. 273 established small businesses: on average 23.5 employees, proportionate requests (median R3.89 million, a median of 1.5 times revenue), largely complete applications, and strong transformation credentials — 92% hold BEE Level 1, and average Black ownership is 93%. Together they anticipate 4,064 new jobs.

What to do. Treat this tier as the programme's priority pipeline:

- Maintain a ranked priority list — the dashboard's SME List, sorted by score — and work it from the top.
- Make curated introductions of three to five SMEs per investor, matched on sector, transaction size and instrument, rather than circulating the full list.
- Prepare a standard one-page investor pack for each SME: its score and pillar breakdown, the request and its purpose, the ownership profile, and the jobs impact.
- Assemble due-diligence documents in advance, so that a funder can move from introduction to term sheet in weeks rather than months.
- Target the forms of capital that fit this profile: growth equity, venture debt, bank SME facilities, development finance institutions (DFIs), and corporate enterprise- and supplier-development (ESD) funds, whose mandates require the B-BBEE credentials this tier holds.

Why this tier comes first. Each month a High-tier SME waits reduces the programme's credibility with both applicants and investors. Early, publicised completed deals are the strongest available evidence for recruiting further funders to the platform.

3. Mid tier — build the future pipeline

Who they are. 568 SMEs — the largest group. They are typically much smaller businesses (5.1 employees on average) with modest requests (median R380,000) that are usually proportionate: 70% fall inside the 0.5×–5× target range. They anticipate 2,798 new jobs, and their transformation credentials are comparable to the High tier's.

What to do. Development first, introductions second:

- Run a cohort-based readiness programme of three to six months covering financial record-keeping, growth planning, and support directed at the specific pillars where each SME loses points — the pillar point columns in the scored dataset identify this per business.
- Hold request right-sizing sessions that set every funding request against revenue evidence and a costed use of funds. The objective is to raise the share of requests inside the target range from 70% towards 85%.
- Match these businesses to appropriately sized capital now — microfinance, purchase-order and invoice finance, and ESD supplier-development programmes — and move them to larger instruments after two or three quarters of demonstrated delivery.
- Package cohorts, grouped by province or sector, as portfolio transactions for DFIs and jobs funds, whose mandates match this tier's employment profile.
- Re-score the tier quarterly and promote graduates into the High-tier pipeline. A promotion rate of 10–15% per year is a realistic target.

Why it matters. The Mid tier is where the programme's future transactions come from. Promoting one in ten Mid-tier SMEs adds roughly sixty investor-ready businesses a year, at lower cost than acquiring new applicants.

4. Low tier — repair before any introduction

Who they are. 275 very small or early-stage businesses (3.4 employees on average). Two problems dominate. The median request is 26.2 times annual revenue, and only 14% of requests fall inside the target range. In addition, 37% of the applications are missing at least one required field. The tier's transformation profile — 91% average Black ownership, 39% average youth ownership — makes it worth developing rather than discarding.

What to do. A structured repair programme:

- Run a data-completion campaign: contact every SME with missing fields and make a complete application the requirement for re-scoring. This addresses the 37% of the tier that cannot currently be assessed in full.
- Hold individual request-recalibration sessions that rebuild each funding request from actual revenue and a staged growth plan, targeting the 0.5×–5× range.

- Direct these SMEs to pre-investment support — incubators, mentorship, financial literacy and bookkeeping — rather than to investor introductions.
- Begin with micro-instruments (micro-grants, savings-linked lending, supplier programmes) so each business builds a verifiable record before any equity or debt discussion.
- Re-run the scoring model each quarter and record every SME that moves up a tier. A realistic first-year objective is to move a quarter of the Low tier up to Mid.

> **One firm rule: do not introduce Low-tier SMEs to investors yet.** A failed introduction costs the SME its confidence and the programme its reputation, and both costs are avoidable, because the tier's two obstacles are correctable.

5. Matching each tier to the right kind of capital

Investor matching most often fails because the instrument is wrong for the business, not because the business is wrong for funding. The table below pairs each tier with the capital most likely to complete:

Tier	Fits best with	Reason
High	Growth equity; venture debt; bank SME loans; DFIs; corporate ESD funds	Established operations, proportionate requests and strong B-BBEE credentials make conventional transactions structurable now
Mid	Microfinance; purchase-order and invoice finance; ESD supplier programmes; jobs funds (as cohorts)	Small but genuine businesses that need working capital and a track record before larger instruments
Low	Micro-grants; incubator stipends; savings-linked lending	Pre-investment support builds the evidence base a future application will need

6. The twelve-month conversion plan

Phase	Focus	Key actions	Success measure
Months 0–3	High	Priority pipeline live; curated introductions begin; investor packs standardised	All 273 packaged; first ten term sheets
Months 0–3	Low	Data-completion campaign; request-recalibration sessions begin	90% of applications complete; half of the tier re-scored
Months 3–6	Mid	First development cohort (top 100 by score); request right-sizing	Cohort target-range share raised from 70% towards 80%
Months 3–6	High	Publicise first completed deals; recruit new funders on that evidence	Funder pipeline doubled
Months 6–12	Mid	Quarterly re-scoring; graduates promoted	10–15% of Mid promoted to High
Months 6–12	Low	Remainder directed to incubators and micro-instruments	A quarter of Low promoted to Mid
Continuous	All	Dashboard refreshed monthly; conversion tracked per tier	Introduction-to-term-sheet rate above 20% for High

The targets are programme assumptions intended to focus effort. They should be reviewed with stakeholders and adjusted as actual conversion data accumulates.

7. Using the dashboard

The Power BI report (*SME_Capital_Matching_Dashboard.pbix*, included in this project) has three pages, presented in the order a reader meets them. Every figure described in this plan can be read directly from these pages.

Page 1 — Executive Summary

The portfolio at a glance: four headline cards (1,116 SMEs; average score 54.9 out of 100; R7.72bn total requested; 273 High-tier SMEs, 24.5%), a doughnut chart of the tier split, the provincial footprint by tier, and the average points each scoring pillar contributes. Stakeholder conversations should start on this page.

Page 2 — Funding Readiness Tiers

The investor-facing working page. A Funding Readiness Tier drop-down at the top right filters the whole page to one tier. Below the headline cards sit: the Tier Comparison table (SME counts, total and median requests, ownership percentages per tier); the SME List — every company with its tier, score and request, to be worked from the top down; BEE transformation score by tier; the median request-to-revenue ratio by tier, read against the 0.5×–5× target range, where the Low tier's bar is many times higher than the others; and employees against anticipated jobs by tier.

Page 3 — Contextual Profile

Who the SMEs are beyond the score: application volumes over time split by tier, the 2024 revenue-band mix per tier, SME counts by industry and by province, and a second SME List carrying each company's industry and province for reference.

Working the pages

- Filter by tier with the drop-down at the top right of pages 2 and 3; every card, chart and list updates.
- Click any bar, column, doughnut slice or table row to cross-filter the rest of the page; click empty canvas space to clear the selection.
- Click a company in an SME List to focus the page on that one business — useful when preparing an investor pack.
- Hover over any visual for exact figures; hold Ctrl and click to select several items at once.
- Filtering never changes the underlying data; it only changes what is displayed.

8. Measuring success

Five numbers, all readable from the dashboard or the scored dataset, indicate whether the strategy is working:

- the introduction-to-term-sheet rate for High-tier SMEs — target above 20%;
- the number of completed deals publicised;
- the share of Mid-tier requests inside the 0.5×–5× target range — from 70% towards 85%;
- the quarterly promotion rates — Mid to High at 10–15% a year, Low to Mid at 25% a year;
- the share of Low-tier applications with every required field complete — from 63% towards 100%.

Reviewing these five measures each quarter, and re-running the scoring model on refreshed data, keeps the pipeline current and the strategy self-correcting.

Companion document: *How the Funding Readiness Tiers Were Built*, which explains the scoring model in full. Data sources: *Capital_Matching_Cleaned_Data.xlsx* and *Funding_Readiness_Segmentation.xlsx* (1,116 scored applications), produced by the two Python notebooks included in this project. All statistics in this document are calculated from the scored dataset. Prepared July 2026.